

# Westpac Market Outlook May 2026

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Developments coming out of the Middle East have largely been touch-and-go over recent weeks, with brief stints of optimism over progress towards a resolution punctuated by breakdowns and occasional

skirmishes. That continues to produce sharp swings and contrasts across core asset markets: US and Asian equities pushing above pre-conflict levels despite Brent oil hitting a new cycle high and while yields remaining elevated but range bound. We have again refreshed our baseline scenario to incorporate recent developments but this time with minimal changes to our key economic forecasts.

With less scope to 'look through' the shock, policymaker assessments have started to shift. Both monetary and fiscal arms are moving to incorporate higher inflation, lower growth, and weaker labour markets into their 'baseline' forecasts, while flagging that more adverse scenarios could make it even tougher for policies to balance inflation and growth risks.

But with so much uncertainty hanging over the course of the conflict, policy is effectively in 'no man's land'. Central banks are left having to navigate with extreme caution – the Fed, ECB, BoE, BoJ and BoC all opting to keep policy on hold for now and the RBA raising rates but looking for some breathing room to pause as well. Different starting points and exposures to the shock will likely necessitate distinct paths over time. For the record, we still expect another two rate hikes from the RBA this year, but with a slightly later timing – August and September. In contrast, the US is in a better position to weather inflation risks and unlikely to see the Fed alter its policy stance for some time.

The upcoming 2026/27 Federal Budget faces a similar balancing act. As our preview sets out, the government will have some windfall gains to work with but support measures will need to be carefully calibrated given the backdrop of inflation risks. Wilfred Owen – the quintessential wartime poet – once described no man's land as "like the face of the moon, chaotic, crater-ridden, uninhabitable, awful, the abode of madness." Ideally policymakers will navigate this threatening terrain in a coordinated rather than haphazard way.

**Australia:** The RBA hiked the cash rate this month, and while it seeks some breathing space, we expect further hikes later, in August and September. The more hawkish policy environment here is evident in both bond and FX market developments. The real economy is heading for an abrupt slowdown, with higher unemployment but also higher inflation in the near term.

**Middle East:** The normalisation of shipping traffic through the Strait of Hormuz will be more drawn out than we previously assumed. Our revised baseline assumptions point to a more persistent energy price shock, with tighter demand and supply balances extending into 2027 and beyond, and Brent crude oil prices remaining elevated for longer.

**Commodities:** April was a mixed month with our broadest commodities index down 1% since our last update. We have revised up our forecasts for crude (US\$110/bbl for Q2 2026, US\$87/bbl for Q4 2026) and lifted the profile by around 20% to 30% through 2027, finishing at a quarter-average of US\$67/bbl.

**Global FX Markets:** When we released the April edition of Market Outlook, the DXY index sat at 98.2. Today it is also at 98.2 and, in the intervening period, the index traded a 1 point range – the definition of marking time.

**New Zealand:** Surveys point to a large fall in optimism as firms and households grapple with the impact of higher fuel prices on profitability and disposable income. Over coming months, higher fuel

prices will lead to a sharp lift in CPI inflation and the RBNZ will need to be vigilant for signs of second-round price increases that cause inflation to persist over the medium term. We continue to expect the OCR to rise in September.

**United States:** Earnings beats have seen equities rebound to record levels. At the same time, though, consumption growth has fallen below trend and housing investment is contracting. In many respects, the economic outlook is highly uncertain.

**China:** Presidents Xi and Trump are due to meet to discuss China/US relations in May. Data point to a stark difference in perspectives which will shape risks and opportunities.

**Japan:** Japan's domestic fundamentals make a compelling case for the BoJ to continue normalising policy, even as the Middle East conflict and a weakening yen threaten to turn demand-pull inflation into cost-push.

**Europe & UK:** Major central banks in Europe maintained a balanced stance this month. But with a definitive end to the Middle East conflict out of sight, the ECB and Bank of England looking increasingly likely to hike sooner than later.

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